

HOUSE OF REPRESENTATIVES - FLOOR VERSION

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR
HOUSE BILL NO. 4050

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

COMMITTEE SUBSTITUTE

An Act relating to retirement; amending 74 O.S. 2021,
Section 920, which relates to the Oklahoma Public
Employees Retirement System; modifying employer
contribution amount for certain time frame; providing
an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 74 O.S. 2021, Section 920, is
amended to read as follows:

Section 920. (1) Effective July 1, 1994, every state agency
which is a participating employer shall contribute to the System an
amount equal to eleven and one-half percent (11 1/2%) of the monthly
compensation of each member, but not in excess of Forty Thousand
Dollars (\$40,000.00).

1 (2) Effective July 1, 1995, every state agency which is a
2 participating employer shall contribute to the System an amount
3 equal to eleven and one-half percent (11 1/2%) of the monthly
4 compensation of each member, not to exceed the allowable annual
5 compensation as defined in paragraph (9) of Section 902 of this
6 title.

7 (3) Effective July 1, 1996, every state agency which is a
8 participating employer shall contribute to the System an amount
9 equal to twelve percent (12%) of the monthly compensation of each
10 member, not to exceed the allowable annual compensation defined in
11 paragraph (9) of Section 902 of this title.

12 (4) Effective July 1, 1999, and through the fiscal year ending
13 June 30, 2005, every state agency which is a participating employer
14 shall contribute to the System an amount equal to ten percent (10%)
15 of the monthly compensation of each member, not to exceed the
16 allowable annual compensation defined in paragraph (9) of Section
17 902 of this title.

18 (5) Effective July 1, 2005, except as otherwise provided by
19 subsection ~~(11)~~ (13) of this section, every state agency which is a
20 participating employer shall contribute an amount to the System
21 equal to a percentage of monthly compensation of each member, not to
22 exceed the allowable annual compensation defined in paragraph (9) of
23 Section 902 of this title as follows:

24 July 1, 2005 - June 30, 2006 11 1/2%

July 1, 2006 - June 30, 2007 12 1/2%

July 1, 2007 - June 30, 2008 13 1/2%

July 1, 2008 - June 30, 2009 14 1/2%

July 1, 2009 - June 30, 2011 15 1/2%

July 1, 2011 - June 30, ~~2012~~ 2026

~~and each year thereafter~~ 16 1/2%

(6) Beginning July 1, 2026, through June 30, 2031, except as otherwise provided by subsection (13) of this section, every state agency which is a participating employer shall contribute an amount to the System equal to nine and one-half percent (9 1/2%) of monthly compensation of each member, not to exceed the allowable annual compensation defined in paragraph (9) of Section 902 of this title.

(7) Beginning July 1, 2031, except as otherwise provided by subsection (13) of this section, every state agency which is a participating employer shall contribute an amount to the System equal to sixteen and one-half percent (16 1/2%) of monthly compensation of each member, not to exceed the allowable annual compensation defined in paragraph (9) of Section 902 of this title.

(8) The Board shall certify, on or before November 1 of each year, to the Office of Management and Enterprise Services an actuarially determined estimate of the rate of contribution which will be required, together with all accumulated contributions and other assets of the System, to be paid by each participating employer to pay all liabilities which shall exist or accrue under

1 the System, including amortization of the past service cost over a
2 period of not to exceed forty (40) years from June 30, 1987, and the
3 cost of administration of the System, as determined by the Board,
4 upon recommendation of the actuary.

5 ~~(7)~~ (9) The Office of Management and Enterprise Services and
6 the Governor shall include in the budget and in the budget request
7 for appropriations the sum required to satisfy the state's
8 obligation under this section as certified by the Board and shall
9 present the same to the Legislature for allowance and appropriation.

10 ~~(8)~~ (10) Each other participating employer shall appropriate
11 and pay to the System a sum sufficient to satisfy the obligation
12 under this section as certified by the Board.

13 ~~(9)~~ (11) Each participating employer is hereby authorized to
14 pay the employer's contribution from the same fund that the
15 compensation for which said contribution is paid from or from any
16 other funds available to it for such purpose.

17 ~~(10)~~ (12) Forfeitures arising from severance of employment,
18 death or for any other reason may not be applied to increase the
19 benefits any member would otherwise receive under the System's law.
20 However, forfeitures may be used to reduce an employer's
21 contribution.

22 ~~(11)~~ (13) Effective November 1, 2015, an employer shall be
23 required to make payment to the Oklahoma Public Employees Retirement
24 System of the amount described by subsection A of Section ~~10 of this~~

1 ~~act~~ 935.10 of this title with respect to any employee who is a
2 participant in the defined contribution system created pursuant to
3 the provisions of Sections ~~±~~ 935.1 through ~~±±~~ 935.11 of this ~~act~~
4 title. The employer shall be required to make the required matching
5 contribution amount for all employees that participate in the
6 defined contribution system and to remit the difference between such
7 amount and the amount the employer would otherwise have paid
8 pursuant to the provisions of this section to the Oklahoma Public
9 Employees Retirement System.

10 SECTION 2. This act shall become effective July 1, 2026.

11 SECTION 3. It being immediately necessary for the preservation
12 of the public peace, health or safety, an emergency is hereby
13 declared to exist, by reason whereof this act shall take effect and
14 be in full force from and after its passage and approval.

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16 COMMITTEE REPORT BY: COMMITTEE ON JOINT COMMITTEE ON APPROPRIATIONS
17 AND BUDGET, dated 04/13/2026 - DO PASS, As Amended.
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